Warehouse Cycle Count Procedure

WH-COUNT-305 | Version 1.0 | Owner: Warehouse Supervisor | Reviewed: 18 October 2026

FICTIONAL COMPANY DATA - FOR DOCUMENT UPLOAD TESTING

Verify recorded quantities through scheduled cycle counts in the fictional Sentral Ops warehouse. A cycle count is a stock-verification task; it is not confirmation of live availability to a customer.

Class A items	Every Monday and Thursday at 10:00
Class B items	Every Wednesday at 14:00
Class C items	First Friday of each month at 09:00
Escalation threshold	More than 3 units OR more than RM200 in absolute variance

Count and recount

- The Warehouse Supervisor assigns the bins and the first counter. Record the SKU, bin, system quantity, physical quantity, unit cost, counter name, and count time.
- For every non-zero discrepancy, a different employee performs a second physical count. Do not copy the first result or adjust the system quantity before the second count.
- Pause picking from the affected bin until the second count is complete and the Warehouse Supervisor releases the bin.

Escalation and adjustment

- Escalate to the Operations Manager on the same working day if the absolute difference is more than 3 units, or if the absolute value difference is more than RM200. Either condition is sufficient.
- For example, 4 units worth RM120 must be escalated because the unit threshold is exceeded. A difference of 2 units worth RM250 must be escalated because the value threshold is exceeded.
- A difference of exactly 3 units and exactly RM200 does not exceed these escalation thresholds. It still requires a recorded recount and supervisor review.
- Every stock adjustment requires Warehouse Supervisor authorisation, regardless of value. Finance reviews the valuation before an adjustment worth more than RM200 is posted.

Records and boundaries

- Retain both count results, variance calculation, investigation notes, approvals, adjustment reference, and bin-release confirmation. The assistant cannot change stock records or confirm current stock.